

SECURITIES AND EXCHANGE BOARD OF INDIA

ALTERNATIVE INVESTMENT FUND AND FOREIGN PORTFOLIO INVESTORS DEPARTMENT, MUMBAI

SEBI/HO/AFD/AFD-PoD-2/P/CIR/2024/160

September 27, 2024

Master Circular for Foreign Portfolio Investors (FPIs)

1. Categorization of FPIs: Foreign Portfolio Investors are classified into two categories:

(a) Category I FPI: Government and government-related entities such as central banks, sovereign wealth funds, international agencies, and regulated entities including pension funds and insurance funds from FATF-compliant jurisdictions.

(b) Category II FPI: Appropriately regulated funds, broad-based funds, university endowments, charitable trusts, and corporate investors.

2. Individual and Group Holding Limits: The total investment by each Foreign Portfolio Investor or its investor group shall remain below ten percent (10 percent) of the total issued and paid-up equity share capital of a listed Indian company. If holdings touch or exceed ten percent, the FPI must divest the excess within five trading days, failing which the entire holding is reclassified as Foreign Direct Investment (FDI).

3. Granular Beneficial Ownership Disclosures: FPIs meeting either of the following concentration criteria must provide granular disclosures identifying all natural persons holding economic interest or control:

- (i) FPIs holding more than 50 percent of their total Indian equity Assets Under Management (AUM) in a single Indian corporate
- (ii) FPIs that individually, or along with their investor group, hold Indian equity AUM exceeding rupees twenty-five thousand crore

Exemptions apply to sovereign wealth funds, public retail funds, and regulated ETFs.

4. Surrender of Registration: An FPI wishing to surrender its registration must liquidate all holdings and settle tax obligations within 30 business days of applying for surrender to the Designated Depository Participant (DDP).

5. Offshore Derivative Instruments (ODIs / P-Notes): Only Category I FPIs may issue, subscribe to, or deal in Offshore Derivative Instruments (ODIs). Issuance of ODIs to entities that are non-compliant with FATF standards or have opaque ownership structures is prohibited.
6. Prohibition of ODIs on Derivatives: FPIs shall not issue ODIs with derivative contracts as the underlying asset, except where the derivative positions are entered into by the FPI purely for hedging equity holdings in Indian companies.
7. Custody and Clearing: All FPIs must appoint a SEBI-registered Custodian of Securities and enter into a custodial agreement for all market transactions in India.

8. Investor Group Clubbing: Multiple FPI entities having common ownership of more than 50 percent or common control shall be treated as a single investor group for the purpose of monitoring the 10 percent equity holding limit.

9. Divestment Timelines for Breaches: In the event of an inadvertent breach of the 10 percent limit due to corporate actions (right issues, etc.), the FPI group is granted five trading days to bring holdings below the threshold.

10. Periodic KYC Updation: FPIs must submit updated KYC records to their Designated Depository Participant (DDP) every three years and every year for Category II.

Yours faithfully,

(Sunil J. Kadam)

Chief General Manager